China, which wanted to have voting shares reflect economic weight, which would give Beijing the dominant position.

China's compromise is the most significant signal to its partners that their club not only serves Chinese interests, but also provides benefits to all the members. It was also a way to demonstrate that Beijing is not only a principal funding source in the tradition of a global hegemon, but also fair-minded. However, the downside of the victory of the principle of equal representation is twofold: first, China gains the most prestige and influence from its larger AIIB, which causes some resentment in the BRICS club. Second, and more important, it means that the NDB, by virtue of its articles of agreement giving the BRICS permanent 55 percent control over voting shares, is organized on a lowest-common-denominator basis among the five. Consequently, it likely cannot achieve a meaningful scale and development impact unless the founders go back and renegotiate its first principles.

Other disagreements arose between India and China regarding the NDB site, as well as its leadership. India, considering itself the source of the NDB idea and, *sotto voce*, clearly better qualified than either China or Russia in terms of the sophistication and expertise of its domestic financial regulators, hoped to host the proposed BRICS bank. However, it was obliged to yield to China's greater economic power and financial resources—in particular, large foreign exchange reserves—and agreed to the NDB being sited in Shanghai. Russia and Brazil also wanted to host the bank but did not put up a fight.[113] China argued in favor of a permanent NDB presidency for itself, rather than the rotating one ultimately chosen, but was persuaded to back down on this demand.[114]

Moreover, India was granted the right to appoint the NDB's first president, while each of the other countries would appoint a vice president. The NDB's official founding occurred at the June 2014 BRICS Summit in Fortaleza, Brazil.

When the NDB was launched in Shanghai on July 22, 2015, its first president, Indian private-sector banker K. V. Kamath, noted, "Our objective is not to challenge the existing system as it is, but to improve and complement the system in our own way."[115] Chinese Finance Minister Lou Jiwei, also in attendance, added, "[t]his bank will place greater emphasis on the needs of developing countries, have greater respect for developing countries' national situation, and more fully embody the value of developing countries." Lou further observed, "[t]here is no such thing as so-called 'best